

FEDERAL MARITIME COMMISSION
Office of Administrative Law Judges

CHINA UNITED LINES, LTD., *Complainant*

v.

AMAZON.COM SERVICES LLC; AMAZON LOGISTICS INC.;
AND BEIJING CENTURY JOYO COURIER SERVICE CO., LTD.,
Respondents.

DOCKET NO. 25-04

Served: June 6, 2025

ORDER OF: Erin M. WIRTH, *Chief Administrative Law Judge.*

ORDER PARTIALLY GRANTING MOTION TO DISMISS¹

I. Introduction

A. Summary

Complainant China United Lines, Ltd. (“China United”) is an ocean common carrier that provided containership transportation through its wholly-owned subsidiary C.U. Lines Ltd. (“C.U. Lines”).² China United alleges violations of the Shipping Act of 1984 (“Shipping Act”) by Respondents Amazon.com Services LLC (“Amazon”), a shipper, and two non-vessel operating common carriers (“NVOCCs”): Amazon Logistics, Inc. (“Amazon Logistics” or “ALI”), and Beijing Century Joyo Courier Service Co., Ltd. (“Beijing Century” or “BCJ”).

According to the amended complaint:

13. In April 2022, China United and Amazon entered into agreements for China United to provide transportation services, including ocean transportation, to Amazon. The terms of these agreements were set forth in several documents, including the Main Transportation Agreement (“MTA”) dated April 7, 2022, the Work Order dated April 29, 2022 (the “Work Order”), which was later amended without affecting the relevant terms (together, the MTA and Work Order, as amended, the “Service Contract”), and a Nondisclosure Agreement (“NDA”) dated March 29, 2022, which is incorporated by reference in the Service Contract.

¹ This order will become the order of the Commission in the absence of review by the Commission. Any party may file exceptions to the partial dismissal within twenty-two days of the date of service. 46 C.F.R. § 502.227.

² Complainant referred to C.U. Lines as CUL while Respondents referred to China United as CUL.

Amended Complaint at 4.

Respondents filed a motion to dismiss for lack of jurisdiction and failure to state a claim, arguing that this is fundamentally a breach of contract claim and the third forum in which China United has advanced claims against Amazon; that Counts II, III, and IV apply only to regulated entities, Amazon is not a regulated entity, and NVOCCs Amazon Logistics and Beijing Century were not acting as regulated entities; and that Count V is premised on a Commission regulation that is inapplicable on its face. Motion at 1-4.

China United contends that Respondents violated the Shipping Act by refusing to pay an agreed amount of liquidated damages after prematurely terminating “for convenience” their two-year ocean service contract and subsequently seeking to re-terminate “for cause” on a pretextual basis regarding publication of allegedly confidential information. Opposition at 1. China United alleges that Amazon Logistics and Beijing Century were authorized to ship cargo based on being identified as affiliates of Amazon in the Service Contract and that “whether the Respondents’ alleged misconduct in seeking to avoid liquidated damages for not meeting the [minimum quantity commitment (“MQC”)] under the Service Contract constituted a ‘cancellation’ under the Commission’s regulations is a highly fact intensive subject involving substantial evidence and essential discovery before adjudication.” *Id.* at 3.

For the reasons set forth below, Respondents’ motion to dismiss is denied as to Count I and granted as to Counts II, III, IV, and V. After discussing the procedural history and motions for confidential treatment, section two provides background including the arguments of the parties, the motion to dismiss legal standard, and the facts. Section three discusses each of the counts and section four includes the order.

B. Procedural History

This proceeding began with a complaint filed on January 9, 2025. On January 28, 2025, China United filed a motion to amend the complaint which was granted on February 5, 2025.

On March 26, 2025, Respondents filed a motion to dismiss the amended complaint (“Motion”) with attachments A to E and a motion for confidential treatment. On March 31, 2025, Respondents filed a revised motion for confidential treatment (“Respondents’ Confidential Treatment Motion”). On April 17, 2025, after receiving an extension, Complainant filed a timely opposition to the motion to dismiss (“Opposition”) with appendices and a motion for confidential treatment (“Complainant’s Confidential Treatment Motion”). On April 29, 2025, Respondents filed a reply in support of their motion to dismiss (“Reply”).

C. Motions for Confidential Treatment

Respondents filed a motion for confidential treatment on March 26, 2025, and then filed a revised motion for confidential treatment on March 31, 2025. Respondents do not request confidential treatment of any portions of their Motion or Reply. They only seek confidential treatment for portions of the attachments, including portions of the Main Transportation Agreement, the Work Order, and the Request for Arbitration filed with the Shanghai International Arbitration Center whose rules provide for confidentiality.

Complainant filed a motion for confidential treatment on April 17, 2025, seeking confidential treatment of a few lines in its Opposition related to Respondents' commercially sensitive service contract terms.

The motions for confidential treatment are reasonable. They limit only the information that is confidential commercial information and the parties worked together to narrow the requests. Good cause having been stated, both motions for confidential treatment are granted.

II. Background

A. Arguments of the Parties

Respondents assert that Count I does not state a claim because it does not allege the required element of falsification, deception, fraud, or concealment; China United's attempt in Counts II, III, and IV to state claims only against two affiliates of Amazon, Amazon Logistics and Beijing Century as NVOCCs, fails on multiple grounds; and Count V does not state a claim because it does not allege a violation of the Shipping Act and the regulation on which it is based is inapplicable on its face. Motion at 7-23.

China United contends that Amazon's use of a pretextual "for cause" termination to avoid liquidated damages under the service contract was an unfair or unjust device or means to obtain below tariff discounted rates from China United; the Commission has jurisdiction for Counts II-IV because Beijing Century and Amazon Logistics were designated as NVOCCs and acted as NVOCCs to obtain services at less than market rates without payment of liquidated damages to China United; China United has stated a claim for each of the counts in the amended complaint seeking relief under the Shipping Act and the Commission's regulations; and China United has stated a claim in Count V for violation of Commission regulations which are Shipping Act violations. Opposition at 9-29.

In reply, Respondents maintain that Count I fails to state a claim under longstanding precedent; China United has not provided any basis for discovery as to whether Respondents Amazon Logistics and Beijing Century were acting as shippers, as the contracts expressly establish that they were; Counts II, III, and IV would fail to state a claim even if they were within the Commission's jurisdiction; and China United cites no legal basis for Count V. Reply at 2-14.

B. Motion to Dismiss Standard

Although the Commission's Rules of Practice and Procedure ("Rules") do not explicitly provide for motions to dismiss, Rule 12 of the Commission's Rules states that the Federal Rules of Civil Procedure will be followed in instances that are not covered by the Commission's Rules, to the extent that application of the Federal Rules is consistent with sound administrative practice. 46 C.F.R. § 502.12. The "Commission looks to Federal Rule of Civil Procedure 12(b)(1) when considering dismissals based on lack of subject matter jurisdiction, and to Rule 12(b)(6) when considering dismissals based on failure to state a claim." *MAVL Capital Inc. v. Marine Transport Logistics, Inc.*, Docket No. 16-16, 2 F.M.C. 2d 198, 202, 2020 WL 13512925, (FMC Oct. 29, 2020).

“Proper jurisdiction for a federal court is fundamental and necessary before touching the substantive claims of a lawsuit.” *Arena v. Graybar Elec. Co., Inc.*, 669 F.3d 214, 223 (5th Cir. 2012). The “party asserting subject-matter jurisdiction, has the burden of proving its existence by a preponderance of the evidence.” *Garanti Finansal Kiralama A.S. v. Aqua Marine & Trading, Inc.*, 697 F.3d 59, 65 (2d Cir. 2012).

Under Federal Rule 12(b)(1), “there are two different types of jurisdictional attacks. In a factual attack, a court may consider matters outside the pleadings. In that situation, the presumption of truthfulness normally granted allegations does not apply.” *MAVL Capital*, 2020 WL 13512925, at *4 (citations omitted). Under a Federal Rule 12(b)(1) facial attack on subject matter jurisdiction, “the court examines whether the complaint has sufficiently alleged subject matter jurisdiction. Consequently, complainants have the same procedural protection afforded under Rule 12(b)(6),” that is, “all well-pleaded allegations are accepted as true and interpreted in the light most favorable to the complainant. *MAVL Capital*, 2020 WL 13512925, at *5 (citations omitted). When “jurisdictional facts are intertwined with facts central to the merits of a claim, the Rule 12(b)(6) standard applies.” *MAVL Capital*, 2020 WL 13512925, at *5 (citing *Kerns v. United States*, 585 F.3d 187, 192-93 (4th Cir. 2009)).

“On a motion to dismiss for failure to state a claim upon which relief can be granted pursuant to Rule 12(b)(6), courts will dismiss a claim if the plaintiff’s complaint fails to plead ‘enough facts to state a claim for relief that is plausible on its face.’” *Cornell v. Princess Cruise Lines, Ltd.*, Docket No. 13-02, 2014 WL 5316340, at *6 (FMC Aug. 28, 2014) (quoting *Bell Atlantic Corp. v. Twombly*, 550 U.S. 544, 570 (2007)). Under this standard, “the facts alleged are taken as true and all reasonable inferences are drawn in the complainant’s favor.” *MAVL Capital*, 2020 WL 13512925, at *5. “When evaluating a motion to dismiss for failure to state a claim, the Commission considers the facts alleged in the complaint, documents attached to the complaint, documents incorporated by reference in, or integral to, the complaint, and matters subject to official notice.” *Maher Terminals, LLC v. The Port Authority of New York and New Jersey*, Docket No. 12-02, 2015 WL 9426189, at *1 n.1 (FMC Dec. 18, 2015).

“A claim ‘has facial plausibility when the plaintiff pleads factual content that allows the court to draw the reasonable inference that the defendant is liable for the misconduct alleged.’” *Mitsui O.S.K. Lines Ltd. v. Global Link Logistics, Inc.*, Docket No. 09-01, 2011 WL 7144008, at *12, (FMC Aug. 1, 2011) (quoting *Ashcroft v. Iqbal*, 556 U.S. 662, 663 (2009)). The complaint’s factual allegations must be enough to raise a right to relief above the speculative level and must nudge claims across the line from conceivable to plausible. *Cornell*, 2014 WL 5316340, at *6. “Mere labels and conclusions or a “formulaic recitation of the elements of a cause of action” will not suffice, nor will “naked assertions devoid of further factual enhancement.” *Iqbal*, 556 U.S. at 678 (quoting *Twombly*, 550 U.S. at 557). “Where a complaint pleads facts that are merely consistent with a defendant’s liability, it stops short of the line between possibility and plausibility of entitlement to relief.” *Cornell*, 33 S.R.R. at 620 (citing *Iqbal*, 446 U.S. at 678). The focus at this stage is not with whether a complainant can prevail on its claim, but whether it has adequately pled the claim. *Negron v. USAA Casualty Ins. Co.*, 2014 WL 4411676, at *2 (M.D. Tenn. 2014).

C. Facts

For purposes of evaluating the motion to dismiss, the facts presented by China United are presumed to be true, but only for the purpose of this motion. China United states in the amended complaint, section IV, statement of the case:

11. China United was, at all relevant times, an ocean common carrier engaged in the transportation of goods by sea. During all relevant periods, China United published base rates and additional charges for 20-foot and 40-foot equivalent container units (“TEUs” and FEUs” respectively) through the Shanghai Shipping Exchange. China United and CUL published an additional ocean tariff through a tariff publisher, www.tariffdatasystems.com which was listed on the Commission’s website for such periods.

12. China United, acting through its affiliate CUL, provided ocean transportation services from foreign ports to United States ports.

13. In April 2022, China United and Amazon entered into agreements for China United to provide transportation services, including ocean transportation, to Amazon. The terms of these agreements were set forth in several documents, including the Main Transportation Agreement (“MTA”) dated April 7, 2022, the Work Order dated April 29, 2022 (the “Work Order”), which was later amended without affecting the relevant terms (together, the MTA and Work Order, as amended, the “Service Contract”), and a Nondisclosure Agreement (“NDA”) dated March 29, 2022, which is incorporated by reference in the Service Contract.

14. The Service Contract was intended to be a service contract within the meaning of applicable FMC rules and regulations, structured as a master or main terms agreement with specific ocean pricing terms and rates set forth in addenda and other “Work Order” documents incorporated therein by reference. The Service Contract had an initial two (2) year term commencing on April 7, 2022. The Service Contract defined the applicable shipping periods as “Contract Year 1,” running from May 1, 2022 to April 30, 2023, and “Contract Year 2,” running from May 1, 2023 through April 30, 2024.

15. The Service Contract obligated China United, through its subsidiaries designated as “affiliates” therein, including CUL, to provide ocean transportation services to Amazon adequate to transport Amazon’s agreed “Minimum Quantity Commitment” under the Service Contract.

16. Under the Service Contract, Amazon could tender cargo “either directly or through its agents or suppliers, as a beneficial cargo owner (“BCO”) or non-vessel operating common carrier (“NVOCC”).”

17. Amazon functioned as a shipper in U.S. foreign commerce by ocean and is considered a “person” subject to the Shipping Act. Under the Service Contract, Respondents Amazon Logistics and Beijing Century were authorized to receive transportation services. Amazon Logistics and Beijing Century, at all relevant

times, operated as NVOCCs regulated by and registered with the FMC under 46 C.F.R. §§ 515 and 530.

18. Amazon, on behalf of itself and its affiliates, represented to China United when negotiating the Service Contract that it intended to ship a significant volume of goods, necessitating the establishment of favorable contract rates and charges between the parties.

19. Based on Amazon's representations, the Service Contract contemplated that Amazon and its affiliates for each contract year would arrange carriage on China United's vessels for a significant number of FEUs of containerized cargo at fixed rates.

20. The Service Contract provided for certain ports, base rates, charges and other price terms, service commitments, and minimum quantity commitments, to be valid from May 1, 2022 to April 30, 2024, and other terms and conditions therein and incorporated by reference from the MTA and NDA.

21. Unless the Service Contract was terminated earlier pursuant to its terms, the term of the parties' contractual relationship, including Amazon's obligation to pay China United for services rendered, was set to expire on April 30, 2024.

22. The MTA allowed either party to terminate the MTA or a Work Order (such as the Service Contract¹) for convenience, i.e., without cause, with 90 days' prior written notice. The MTA provided that upon termination, each party would continue to owe any amounts accrued under the contract through termination. If Amazon terminated the Service Contract for convenience, the Service Contract outlines the calculation of damages owed to China United, including the "Early Termination Tender Shortfall" at China United's election, and the "Tender Shortfall Liquidated Damages" based on the containers booked by Amazon relative to China United's capacity commitment. The MTA also provides for termination for cause by either party with 30 days' written notice following the other party's failure to cure a breach within 30 days of notice. The MTA also provides for immediate termination for cause in the event of violation of certain representations, warranties, and covenants, and in the event of violation of Section 7 of the MTA (Confidentiality).

23. However, the Work Order subsequently entered between the parties after final amendments required by Amazon provided that China United as the service provider could not terminate the Service Contract for convenience. The Work Order further stated that if Amazon terminated "for cause" Amazon's Minimum Quantity Commitment would be deleted and Amazon would owe no amounts for liquidated damages for bookings shortfalls.

24. Following the entry of the Service Contract, Amazon began booking shipments with China United and CUL, and CUL carried such shipments from China to U.S. West Coast ports. CUL's vessels carried a large number of Amazon containers

under the Service Contract during the period from service commencement in April 2022 through March 2023.

25. On April 1, 2023, Amazon provided written notice to China United that it was electing to terminate the MTA and Service Contract for convenience and without cause, stating the termination would be “effective as of May 30, 2023.”

26. Amazon’s termination for convenience triggered Amazon’s obligation to pay China United liquidated damages under the Service Contract for the difference between the FEUs actually booked by Amazon from contract inception through such termination date, and the full FEUs of Amazon’s Minimum Quantity Commitment for each of Contract Years 1 and 2, through April 30, 2024, subject to certain specific adjustments.

27. In accordance with the Service Contract and the rates and charges contained therein, on April 26, 2023, the parties engaged in discussions for conclusion and termination, including calculating the liquidated damages compensation owed to China United pursuant to the Service Contract. On that same day, Amazon emailed China United its calculations of the amount owed to China United, which Amazon stated to be \$31,560,000 under the Service Contract terms.

28. On May 10, 2023, China United confirmed with Amazon its agreement with the calculation method and total figure that was owed, reiterating the parties’ agreement as to that early termination penalty on May 23, 2023.

29. On May 18, 2023, Amazon emailed China United responding that it would pay undisputed outstanding invoices per the agreement terms, within 45 days.

30. After the contract was validly terminated by Amazon for convenience, “effective as of May 30, 2023” per Amazon’s written notice, and was no longer in effect, Amazon attempted to revise the termination to “for cause” as a pretext to avoid paying the contractual liquidated damages.

31. On June 7, 2023, Amazon emailed China United that it was issuing a “notice of termination” for cause and it would no longer be making payments to China United in accordance with the Service Contract.

32. In its June 7, 2023 notice, Amazon for the first time claimed that China United had violated Section 7 of the MTA (Confidentiality), which refers to China United’s “unauthorized use and disclosure of Confidential Information” because China United had posted material on the Chinese social network WeChat disclosing that China United was carrying cargo for Amazon.

33. Amazon itself had published an extensive WeChat post on July 4, 2022 identifying China United as Amazon’s business partner.

34. Amazon’s July 4 WeChat post identified China United as a “business partner” and further discussed the parties’ commercial relationship in detail, including

pricing and shipment schedules. Amazon also provided information about its China United carrier relationship to the shipping trade press, leading to publication of articles in July 2022 containing this same information. Amazon made additional similar WeChat posts on August 9 and December 9, 2022.

35. All of China United's posts complained of by Amazon were published after Amazon's own July 4, 2022 WeChat post. China United's posts do not reveal any confidential information, as defined in the NDA and Service Contract. Due to Amazon's own July 4, August 9, and December 9, 2022 public disclosures through WeChat posts and press contacts, all such information had lawfully entered the public domain and was no longer "Confidential" within the meaning of the NDA or Service Contract. CUL's WeChat posts essentially just re-posted the information in Amazon's posts with less detail, together with other non-confidential information.

36. To date, Amazon's July 4 WeChat posts stating that China United is a "business partner" of Amazon, and Amazon's additional WeChat posts from August 9 and December 9, 2022 remain public and visible on WeChat.

37. China United's WeChat posts appeared in mid-2022, well before the termination of the Service Contract, and during the period when Amazon was continuing to book cargo with China United, taking advantage of China United's discounted Service Contract rates and charges. Amazon did not claim that China United's posts violated Section 7 of the MTA until after Amazon booked all its shipments at Service Contract rates, the Service Contract had already been validly terminated by Amazon itself for Amazon's convenience, without cause, and Amazon had agreed to pay \$31,560,000 toward a settlement of the estimated amount due for liquidated damages.

Amended Complaint at 4-9 (footnotes omitted).

III. Discussion

A. Count I, Section 41102(a)

Respondents contend that Count I does not state a claim under section 41102(a) because it does not allege the required element of falsification, deception, fraud, or concealment, arguing that "Amazon terminated a contract under its terms, and did not get carriage at below tariff rates though dishonest or concealed means" and that "an allegedly pretextual contract termination bears no resemblance to 'false billing, false classification, false weighing, false report of weight, [or] false measurement' which are the 'unjust or unfair device[s] or means' identified in the statute." Motion at 10-11.

China United asserts that Amazon's use of a pretextual "for cause" termination to avoid liquidated damages under the Service Contract was an unfair or unjust device or means to obtain below tariff discounted rates from China United, stating that "Respondents not only fraudulently induced Complainants to enter into the contract by misrepresenting their intentions to fulfill MQC commitments or to pay liquidated damages, but also deceptively continued to obtain

transportation services from Complainant at less than applicable rates under that false representation for nearly a year, resorting to their pretextual termination only once market rates fell below the Service Contract rates.” Opposition at 9-13.

The amended complaint provides the detailed factual basis alleged to support this claim, stating:

40. China United entered into a Service Contract with Amazon that provided substantially lower rates and charges than China United’s published ocean rates and charges, based on the premise that Amazon would commit contractually to shipping significant volumes of cargo with China United, and would be contractually obligated to pay agreed liquidated damages if Amazon failed to meet its Minimum Quantity Commitment.

41. On April 1, 2023, after Transpacific market shipping rates had fallen below the Service Contract rates, Amazon terminated the Service Contract “for convenience” by written notice to China United in accordance with the Service Contract’s terms, stating in its notice that the contract would terminate “effective as of May 30, 2023,” and Amazon agreed to pay China United undisputed outstanding liquidated damages for its Minimum Quantity Commitment shortfall per the agreement terms.

42. Respondents, in concert with each other, violated §41102(a) when they subsequently attempted to revise the termination of the Service Contract from “for convenience” to “for cause,” as a means to eliminate Amazon’s Minimum Quantity Commitment from the Service Contract, and avoid paying China United amounts owed for liquidated damages for failure to book the Minimum Quantity Commitment amounts for Contract Years 1 and 2 under the Service Contract.

43. Amazon’s post-termination attempt to revise the basis for termination from “for convenience” to “for cause” because of an alleged breach by China United of Section 7 of the Service Contract due to China United’s 2022 WeChat posts was entirely pretextual.

44. Amazon was a regular WeChat user, and posted its promotional and informational material on WeChat on nearly a daily basis, and therefore was presumably aware of, or could have readily seen, the China United posts beginning in August, 2022. But Amazon, having itself published virtually the same information that later appeared in China United’s WeChat posts, either did not care about the posts, or was not sufficiently concerned to take any action to invoke Section 7 of the Service Contract, or to send a “cease and desist” notice or otherwise attempt to induce China United to cease such WeChat publication, because at that time the China United Service Contract rates and charges available to Amazon were substantially lower than market rates and charges. Instead, Amazon continued to avail itself of the Service Contract rates for an additional eight months until April 2023.

45. The China United WeChat post caused no discernable harm or disadvantage to Amazon. Amazon had previously posted virtually the same information on WeChat on July 4, 2022, for Amazon's own benefit, and continued to maintain and repost the posted material actively on Amazon's WeChat pages. Amazon apparently also publicized this same information to the trade press beginning in July, 2022 leading to multiple press articles containing this same information about China United providing services to Amazon.

46. By attempting to revise its termination of the Service Contract to "for cause" in such a pretextual manner after having availed themselves of the Service Contract rates and charges for substantial cargo movements and previously terminating such contract "for convenience", triggering a significant liquidated damages obligation, Respondents attempted to obtain ocean transportation at less than the rates or charges that would have otherwise applied either pursuant to Complainant's published rates and charges, or the Service Contract rates and charges, by avoiding the obligation of the Service Contract to pay liquidated damages. Such action constitutes an attempt to: "...directly or indirectly, by ... any other unjust or unfair device or means, obtain or attempt to obtain ocean transportation for property at less than the rates or charges that would otherwise apply" in violation of section 41102(a) of the Shipping Act.

47. As a direct consequence of Respondents' violation of the Shipping Act, as stated above, Complainant sustained actual injury when Respondents failed to pay Complainant's published rates and charges or to pay Amazon's full obligations in accordance with the Service Contract. Therefore, China United is entitled to an award of reparations for Respondents' violation of 46 U.S.C. § 41102(a). In accordance with 46 C.F.R. § 530.10(e)(ii), the amount of reparations due Complainant for each shipment made by Amazon under the Service Contract is the difference between the published tariff rates and charges at which China United would have carried such cargo in the absence of the Service Contract, and the Service Contract rates and charges, i.e., rerating of the cargo carried, which in total is approximately \$96,419,259.

48. While Respondents' conduct involves a Service Contract, this is a Shipping Act cause of action arising from Amazon's pattern, practices and determination to obtain ocean transportation services not in accordance with applicable rates, charges, classifications, rules and practices by unjust or unfair device or means, in violation of 46 U.S.C. § 41102(a).

Amended Complaint at 9-12.

Section 41102(a) states that a "person may not knowingly and willfully, directly or indirectly, by means of false billing, false classification . . . or any other unjust or unfair device or means, obtain or attempt to obtain ocean transportation for property at less than the rates or charges that would otherwise apply." 46 U.S.C. § 41102(a). Proving a § 41102(a) claim requires three elements: (1) knowing and willful conduct; (2) through which, either "directly or indirectly," by means of the actions enumerated in the statute or through "any other unjust or

unfair device or means;” (3) respondent obtained or attempted to obtain ocean transportation at lesser rates. *Muhammad Rana v. Michelle Franklin D.B.A. “The Right Move,” Inc.*, Docket No. 19-03, 5 F.M.C.2d 7, 2022 WL 1744905, at *7 (FMC May 25, 2022); *see also OC Int’l Freight, Inc.*, FMC Docket. No. 12-01, 2014 WL 5316336, at *4 (FMC July 31, 2014).

As explained by the Eleventh Circuit:

It is undisputed that fraud or concealment is a necessary ingredient in the proof of an unjust or unfair device or means. *Capitol Transportation, Inc. v. United States*, 612 F.2d 1312 (1st Cir. 1979). It is such fraud or concealment that in fact makes the practice unjust or unfair. Whether an act constitutes an unfair or unjust device under § 16 depends on its similarity to false billing, false classification or the other prohibited conduct. *Hohenberg Brothers Co. v. Federal Maritime Commission*, 316 F.2d 381 (D.C. Cir.1963).

U.S. v. Open Bulk Carriers, 727 F.2d 1061, 1064 (11th Cir. 1984).

The parties had access to the terms of their agreements and knew what was in them. Complainant asserts that the focus should not be on concealment, but rather on fraudulent devices, arguing that “the actions taken by Respondents with respect to termination ‘for cause’ of the Service Contract were *fraudulent* devices used to obtain lower than applicable rates in violation of 46 U.S.C. § 41102(a)” and that Respondents “fraudulently induced Complainants to enter into the contract by misrepresenting their intentions to fulfill MQC commitments or to pay liquidated damages, [and] also deceptively continued to obtain transportation services from Complainant at less than applicable rates under that false representation for nearly a year, resorting to their pretextual termination only once market rates fell below the Service Contract rates.” Opposition at 11-12. The complaint alleges that Respondents attempted to obtain ocean transportation at less than the rates or charges that would have otherwise applied “by avoiding the obligation of the Service Contract to pay liquidated damages.” Amended Complaint at ¶ 46.

China United relies on the *Rana* case to argue that repeated misrepresentations can be an unfair or unjust device or means. Opposition at 11 (citing *Rana*, 2022 WL 1744905). There, the evidence showed that “Respondent engaged in a series of deceptive acts to conceal Right Move’s insolvency and failure to pay the ocean freight charges for Complainant’s shipment and to avoid paying those charges” including “concealing Right Move’s financial instability, failing to pay the ocean freight then falsely claiming the charges had been paid while Complainant’s shipment remained ‘in limbo,’ and finally by making illusory promises to repay Complainant.” *Rana*, 2022 WL 1744905, at *12. The Commission stated that “[b]y itself, a failure to pay ocean transportation charges does not establish the second element of § 41102(a) claim, because that alone does not establish that fraud or deceit were used to avoid paying the applicable rates.” *Id.*, at *8.

China United also relies on the *Hohenberg* case to argue that fraudulent assertions of entitlement to a rebate, when in fact the party knew that they were not entitled to such a rebate, was a fraudulent means. Opposition at 12 (citing *Hohenberg Bros. Co. v. FMC*, 316 F.2d 381 (D.C. Cir. 1963)). In that case, the respondent demanded a rebate on the basis of a claim that it

knew or should have known to be false, thereby obtaining transportation at less than otherwise applicable rates. *Hohenberg Bros.*, 316 F.2d at 384.

Assuming the facts alleged, Amazon entered into the service contract with the intent of obtaining lower shipping rates and then terminating the contract without paying liquidated damages agreed to if the market shipping rates fell. China One points to another case against Amazon, which alleges similar conduct during the same timeframe, and argues:

Because ocean service contracts are kept confidential by the Commission, China United, which has the burden of proof on this issue, cannot readily obtain evidence of how widespread Respondents' contracting practices of this nature are without discovery, which has yet to commence in this case. Even prior to discovery, since filing its Complaint, China United has identified a filed case alleging similar heavy-handed pretextual contract termination practices by Respondents.

Opposition at 22-23.

"The Commission has previously found that unlawful access to service contracts amounts to an unfair device under section 10(a)(1)." *OC Int'l Freight, Inc.*, 2014 WL 5316336, at *6 (citing *Universal Logistic Forwarding Co. Ltd.*, 29 S.R.R. 325 (ALJ 2001), *adopted in relevant part*, 29 S.R.R. 474 (FMC 2002)). If a shipper enters into a service contract with an intent to not be bound by its terms, that conduct could impact the supply chain and the willingness of that or other common carriers to enter into the market when shortages arise. Moreover, such conduct could reduce the availability of cargo space for other, competing shippers.

Accepting the facts in the amended complaint as true, China United has made a plausible claim that Respondents knowingly and willfully, by means of an unjust or unfair device or means, obtained ocean transportation for property at less than the rates or charges that would otherwise have applied. Thus, based on the allegations of the amended complaint, China One has stated a claim for a violation of Section 41102(a) at this stage of the proceeding. Accordingly, the motion to dismiss Count I is denied. China United will need to establish all elements of the section 41102(a) claim and should be prepared to address them in briefing.

B. Counts II, III, and IV

The motion seeks to dismiss Counts II, III, and IV based on lack of subject matter jurisdiction and that each count fails to state a claim. The arguments regarding subject matter jurisdiction are addressed prior to discussing each count.

1. Subject Matter Jurisdiction

Respondents argue that Amazon Logistics and Beijing Century could not violate Counts II, III, or IV because they were acting as shippers, not NVOCCs, with respect to China United and the conduct that China United challenges, and the claims are thus outside the Commission's jurisdiction; and even if Counts II-IV were within the Commission's jurisdiction, the amended complaint contains no specific factual allegations against Amazon Logistics and Beijing Century, much less allegations sufficient to maintain claims against them. Motion at 11-17.

China United contends that the Commission has jurisdiction for Counts II-IV because Beijing Century and Amazon Logistics were designated as NVOCCs, and acted as NVOCCs to obtain services at less than market rates and charges without payment of liquidated damages to China United. Opposition at 13-19.

Counts II, III, and IV are pled only against Amazon Logistics and Beijing Century, but not against Amazon, as these sections do not apply to shippers such as Amazon. The amended complaint alleges that Amazon Logistics and Beijing Century, “are ocean transportation intermediaries,” that they “are common carriers as defined in 46 U.S.C. § 40102(7),” and they “were named affiliates in the Service Contract.” Amended Complaint at ¶¶ 51, 57-58, 72, 74. Thus, the amended complaint alleges that Amazon Logistics and Beijing Century are common carriers, specifically NVOCCs, a type of ocean transportation intermediary.

Count II alleges a violation of section 41102(c), which provides that: “A common carrier, marine terminal operator, or ocean transportation intermediary may not . . .” 46 U.S.C. § 41102(c). Counts III and IV allege violations of sections 41104(a)(1) and (a)(2), which state that: “A common carrier, either alone or in conjunction with any other person, directly or indirectly, shall not . . .” 46 U.S.C. § 41104(a)(1) and (2). The issue is whether the amended complaint plausibly alleges that Amazon Logistics and Beijing Century were acting as regulated entities with respect to the conduct at issue.

“It is elementary law that a tribunal should determine its jurisdiction before addressing the merits of a controversy brought before it. This principle is especially relevant when the tribunal has limited jurisdiction such as this Commission.” *Crowley Liner Serv., Inc. and Trailer Bridge, Inc. v. Puerto Rico Ports Auth.*, Docket No. 00-02, 29 S.R.R. 394, 396, 2001 WL 1632555, at *3 (ALJ Sept. 20, 2001) (citing *The Government of the Territory of Guam v. Sea-Land Serv., Inc.*, 28 S.R.R. 252, 265 (FMC 1998); *River Parishes Co. Inc. v. Ormet Primary Aluminum Corp.*, 28 S.R.R. 751, 762 (FMC 1999); *NPR, Inc. v. Board of Commissioners of the Port of New Orleans*, 28 S.R.R. 1512, 1519 (ALJ 2000)). “Complainants bear the burden of demonstrating that the Commission has jurisdiction to adjudicate their claims.” *Crocus Investments, LLC v. Marine Transport Logistics, Inc.*, 1 F.M.C.2d 403, 406, 2019 WL 4734299, at *4 (FMC July 16, 2019) (citing *River Parishes Co., Inc. v. Ormet Primary Aluminum Corp.*, 28 S.R.R. 188, 201 (ALJ 1998), *aff’d* 28 S.R.R. 751 (FMC 1999)).

“[A]lleged violations of the Shipping Act must be addressed with the Federal Maritime Commission.” *Mediterranean Shipping Co. USA v. Cargo Inc.*, 46 F. Supp. 3d 294, 301 (S.D.N.Y. 2014) (citing *Gov’t of Guam v. American President Lines*, 28 F.3d 142, 144 (D.C. Cir. 1994) (affirming a district court’s dismissal of a Shipping Act claim due to lack of jurisdiction); *D.L. Piazza Co. v. West Coast Line*, 210 F.2d 947, 948 (2d Cir. 1954) (explaining that “the Federal Maritime Board has exclusive primary jurisdiction over” matters “under the Shipping Act”)).

The Commission has stated that “not everything an ocean carrier or marine terminal operator does is within the Commission’s purview—an ocean carrier or marine terminal operator must be acting as a common carrier or marine terminal operator as defined by the Shipping Act with respect to the conduct at issue.” Final Rule: Interpretive Rule on Demurrage and Detention Under the Shipping Act, 85 Fed Reg. 29638, 29650 (May 18, 2020). The “jurisdictional question

in § 41102(c) cases is whether the respondent was acting as a regulated entity when it allegedly violated the Shipping Act.” *MAVL Capital*, 2020 WL 13512925, *6. The Commission explained:

But the fact that Marine Transport is licensed as a regulated entity does not mean that everything it does is subject to § 41102(c). *See Auction Block Co. v. City of Homer (Auction Block I)*, [Docket No. 12-03,] 33 S.R.R. 589, [2014 WL 5316337] (FMC 2014), *aff’d sub nom. Auction Block Co. v. Fed. Mar. Comm’n (Auction Block II)*, 606 Fed. Appx. 347 (9th Cir. 2015); *see also Petchem, [Inc. v. Canaveral Port Authority]*, Docket No. 84-28, 1986 WL 170038, at *7 (FMC March 28, 2986] (publishing a tariff rate does not guarantee the Commission’s jurisdiction). There must also be a link between the respondents’ regulated status and the conduct that allegedly violates the Shipping Act. *See Auction Block II*, 606 Fed. Appx. at 347-48. That is, the inquiry is whether a respondent was acting as regulated entity with respect to the conduct at issue.

Crocus Investments, 2019 WL 4734299, at *7.

The Commission discussed the scope of its jurisdiction with regard to a respondent named Service By Air, Inc. (“SBA”), where it was found that the Commission did not have jurisdiction over shipments that were transported by air instead of by water, stating:

The analysis focuses on SBA’s status with respect to the 28 shipments at issue. *See generally MAVL Capital Inc. v. Marine Transport Logistics, Inc.*, FMC Docket No. 16-16, 2020 FMC LEXIS 216, *6 (FMC 2020) (whether § 41102(c) applies depends on whether the respondent was acting as a common carrier for particular cargo); *Tienshan, Inc. v. Tianjin Hua Feng Transport Agency Co., Ltd.*, FMC Docket No. 08-04, 2011 FMC LEXIS 9, *39-*40 (ALJ Mar. 9, 2011) (common carrier status depends on handling of particular shipments at issue). . . .

This fact-intensive inquiry looks “beyond documentary labels” and delves into respondent’s conduct regarding shipments at issue, while considering that the respondent may have acted as a common carrier in handling some shipments, but not others. *Worldwide Relocations, [Inc.—Possible Violations of Sections 8, 10, and 19 of the Shipping Act]*, Docket No. 06-01, 2012 WL 11914713, *5 (FMC March 15, 2012) (citing *Activities, Tariff Filing Practices and Carrier Status of Containerships, Inc.*, 9 F.M.C. 56, 66 (FMC Sept. 28, 1965) (“*Containerships*”))).

CMI Distribution, Inc. v. Service By Air, Inc., Docket No. 17-05, 2021 WL 3367603, at *4-5 (FMC July 26, 2021); *see also Austasia Intermodal Lines, Ltd. v. FMC*, 580 F.2d 642, 646 (D.C. Cir. 1978).

Here, the amended complaint does not identify any shipments at issue or specify conduct of Amazon Logistics or Beijing Century beyond transporting some of the shipments. Rather, the focus, even in these three counts, is on Amazon’s actions. The amended complaint states that “this is a Shipping Act cause of action arising from *Amazon’s* pattern of activity,” that “such a form of contract, imposed by *Amazon* with its massively superior bargaining power, gave *Amazon*, as the Shipper party, a contractual mechanism by which *Amazon* could continue to

utilize China United's favorable contract rates and charges, at a level well below [] prevailing market rates," and by "*Amazon's* attempting to revise its termination of the Service Contract from *Amazon's* initial 'convenience' termination, effective as of May 30, 2023, to a termination for 'cause' by notice given on June 7, 2023, Respondents made a concerted effort to obtain services not in accordance with the rates, charges, classifications, rules, and practices contained in the Service Contract." Amended Complaint at ¶¶ 54, 63, 68, 75, 79 (emphasis added). The actions complained of were actions taken by Amazon, pursuant to Amazon's contract with China United.

Respondents argue that Amazon Logistics and Beijing Century were shippers, not common carriers, in their relationship with China United; "they had no direct relationship with [China United] at all;" and China United's contract was with Amazon, a shipper that is not an NVOCC for any purpose. Motion at 12. China United discusses the definition of NVOCCs and their obligations under the Commission's Service Contract requirements. Opposition, at 14-16. China United argues that "Amazon and its affiliates were operating under a common enterprise whereby Amazon's unreasonable actions were taken in concert with the Amazon affiliates." Opposition at 17. While Amazon Logistics and Beijing Century were clearly named in the service contract as affiliates, they were not parties or signatories.

China United asserts that "the MTA defines 'Amazon' (the contracting party) as follows: '(1) "Amazon" means Amazon.com Services LLC or any of its affiliates that receive services.'" Opposition at 17 (quoting Motion, Attachment A, at 2). China United further claims that "all entities falling within this all-encompassing definition are commonly owned and controlled," arguing that all three Respondents participated in shipments made under the service contract, with Beijing Century the NVOCC and Amazon Logistics the consignee "on a substantial portion of the shipments made," and "BCJ and ALI affiliates financially benefitted from the evasion of liquidated damages payments and MQC requirements under the Service Contract when the contract was terminated 'for cause' because they were permitted to access the lower than otherwise applicable Service Contract rates." Opposition at 17-18.

The Work Order identifies 14 affiliates that "may secure services under this Work Order" as "a shipper and/or BCO." Motion, Attachment C, at 49. Of these 14 affiliates, only Amazon Logistics and Beijing Century are also listed as affiliates that "may secure services under this Work Order" as an "NVOCC." *Id.* Presumably, the other twelve affiliates also shipped containers under the service contract. The complaint only names the two NVOCC affiliates as parties.

China United further contends that it "appears that all entities falling within this all-encompassing definition are commonly owned and controlled" and requests discovery on this issue. Opposition at 17. However, the amended complaint only alleges that all three Respondents participated in shipments made under the Service Contract. *Id.* China United argues that Beijing Century was the NVOCC and Amazon Logistics was the consignee "on a substantial portion of the shipments made;" Beijing Century does business under the trade name "Amazon Global Logistics;" and the parties' agreement is labeled as the "Amazon Global Logistics Main Transportation Agreement." Opposition at 17. None of these facts suggest that the entities are "commonly owned and controlled" so that Amazon's corporate veil should be pierced. *See, e.g., Amore ex rel. Ests. of Amore v. Accor*, 529 F. Supp. 2d 85, 94 (D.D.C. 2008). And "purely

conclusory allegations cannot suffice to state a claim based on veil-piercing or alter-ego liability.” *In re Currency Conversion Fee Antitrust Litig.*, 265 F. Supp. 2d 385, 426 (S.D.N.Y. 2003); *see also J & J Sports Prods., Inc. v. Micherie, LLC*, 2018 WL 4629301, at *5 (D.D.C. Sept. 27, 2018).

Even if Amazon Logistics and Beijing Century were acting as NVOCCs and therefore regulated entities, the amended complaint does not allege that any actions by Amazon Logistics or Beijing Century violated the Shipping Act. Therefore, the amended complaint does not establish subject matter jurisdiction for these three counts. While this is sufficient to grant the motion to dismiss on these counts, each count will also be discussed briefly.

2. Specific Counts

Respondents assert that each of Counts II, III, and IV of the amended complaint individually do not state a claim. Motion at 17-22. China United contends that it has stated a claim for each of the counts in the amended complaint. Opposition at 19-23. Counts II, III, and IV are each addressed below.

a. Count II, Section 41102(c)

Respondents contend that Count II does not adequately allege that the contract dispute at issue occurred on a normal, customary, and continuous basis and does not allege conduct relating to the receiving, handling, storing, or delivering of property. Motion at 17-19.

China United asserts that it has sufficiently alleged that Amazon and its affiliates Beijing Century and Amazon Logistics have engaged in a regular and continuous unreasonable practice within the meaning of section 41102(c) and that this section applies to Beijing Century and Amazon Logistics because the alleged unreasonable practices under the service contract are sufficiently related to “receiving, handling, storage or delivery of property.” Opposition at 21-25.

Section 41102(c) of the Shipping Act, previously section 10(d)(1), states that a “common carrier, marine terminal operator, or ocean transportation intermediary may not fail to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property.” 46 U.S.C. § 41102(c). On December 17, 2018, after notice and comment, the Commission issued Rule 545.4, specifying the elements of a section 41102(c) claim. Final Rule: Interpretive Rule, Shipping Act of 1984, 83 Fed. Reg. 64478, 64479 (Dec. 17, 2018). Rule 545.4 states:

46 U.S.C. 41102(c) is interpreted to require the following elements in order to establish a successful claim for reparations:

- (a) The respondent is an ocean common carrier, marine terminal operator, or ocean transportation intermediary;
- (b) The claimed acts or omissions of the regulated entity are occurring on a normal, customary, and continuous basis;

- (c) The practice or regulation relates to or is connected with receiving, handling, storing, or delivering property;
- (d) The practice or regulation is unjust or unreasonable; and
- (e) The practice or regulation is the proximate cause of the claimed loss.

46 C.F.R. § 545.4. Respondents focus on elements (b) whether the claimed acts are practices occurring on a normal, customary, and continuous basis and (c) whether the practice relates to or is connected with receiving, handling, storing, or delivering property.

In the notice of proposed rulemaking for the interpretive rule, the Commission explained the intended construction of the word “practice” in 46 U.S.C. § 41102(c):

It is this line of recent cases determining that a discrete failure to observe and enforce an established just and reasonable regulation or practice that the Commission seeks to reform in this rulemaking so as to return the scope of § 41102(c) to its proper role and purpose within the Shipping Act. In the future, the Commission intends to follow the reasoning in *Intercoastal Investigation*, *Altieri*, *Stockton Elevators*, *European Trade Specialists*, *Deringer*, and *Kamara* which offer precedent as to what properly applies the full meaning and purpose of “establish, observe, and enforce just and reasonable regulations and practices” under the Shipping Act and a violation of § 41102(c).

Notice of Proposed Rulemaking: Interpretive Rule, Shipping Act of 1984, 83 Fed. Reg. 45367, 43569-43570 (Sep. 8, 2018) (“NPRM”); *see also, generally*, Final Rule, 83 Fed. Reg. 64478 (adopting reasoning of NPRM and citing the same cases).

The Complaint states:

51. The actions set forth above of Respondents Amazon Logistics and Beijing Century, which are ocean transportation intermediaries, constitute failure or establish, observe and enforce reasonable “practices relating to or connected with receiving, handling, storing, or delivering property” within the meaning of Section 41102(c).

52. On information and belief, Respondents have engaged in similar actions, including use of a form of ocean service contract in U.S. trade lanes without an enforceable shipper minimum volume commitment, and/or engaging in pretextual strategies for terminating or failure to perform minimum volume commitments, such that Respondents’ pattern of activities at different times and with different counterparties, constitutes a “practice” as such has been defined by the Commission.

53. Therefore, China United is entitled to an award of reparations for Respondents’ violation of 46 U.S.C. § 41102(c). In accordance with 46 C.F.R. § 530.10(e)(ii), the amount of reparations due Complainant for each shipment made by Amazon under the Service Contract is the difference between the

published tariff rates and charges at which China United would have carried such cargo in the absence of the Service Contract, and the Service Contract rates and charges, i.e., re-rating of the cargo carried, which in total is approximately \$96,419,259.

54. Although Respondents' conduct involves a Service Contract, this is not a breach of contract cause of action; this is a Shipping Act cause of action arising from Amazon's pattern of activity constituting a failure to establish, observe and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing or delivering property, in violation of 46 U.S.C. § 41102(c).

Amended Complaint at 13.

The complaint alleges a practice "by Respondents" in paragraph 52. The specific conduct identified is "use of a form of ocean service contract in U.S. trade lanes without an enforceable shipper minimum volume commitment, and/or engaging in pretextual strategies for terminating or failure to perform minimum volume commitments." Amended Complaint at ¶ 52. One other case is identified regarding an Amazon contract, however, that one other allegation may not be sufficient to establish a practice. It is possible that discovery could uncover additional similar practices as this information would be within the control of Respondents. However, it is not alleged that Amazon Logistics or Beijing Century entered into ocean service contracts or terminated such contracts. Rather, these are actions that were taken by Amazon, not by its affiliates. Therefore, a practice by Amazon Logistics or Beijing Century is not plausibly alleged.

China United asserts that the practice relates to or is connected with receiving, handling, storing, or delivering property because "conduct here falls within the FMC's special expertise, because the pleadings allege conduct – specifically misrepresentations made during the negotiation and carrying out of a Commission regulated Service Contract to transport cargo – which directly relates to the transportation of property." Opposition at 24. Again, there are no allegations that Amazon Logistics or Beijing Century are the entities who entered into or terminated the contract with China United. But it is clear that the service contract was related to or connected with receiving, handling, storing, or delivering property.

Accordingly, the complaint does not plausibly allege that Amazon Logistics or Beijing Century engaged in unreasonable practices on a normal, customary, and continuous basis relating to the receiving, handling, storing, or delivering of property or that Amazon and its affiliates were acting in concert so as to make Amazon a regulated entity.

b. Count III, Section 41104(a)(1)

Respondents contend that Count III does not allege conduct of the type prohibited under 46 U.S.C. § 41104(a)(1) because the amended complaint does not satisfy the element of falsification, deception, fraud, or concealment that the Commission requires, for the same reasons as Count I. Motion at 19-20. China United does not separately address this argument, however, its arguments regarding Count I are considered.

Section 41104(a)(1) states that:

IN GENERAL.-A common carrier, either alone or in conjunction with any other person, directly or indirectly, shall not-(1) allow a person to obtain transportation for property at less than the rates or charges established by the carrier in its tariff or service contract by means of false billing, false classification, false weighing, false measurement, or any other unjust or unfair device or means.

46 U.S.C. § 41104(a)(1).

Count one is a general prohibition that can be pled against shippers. Count III has similar elements, however, it can only be pled against common carriers. Thus, Count III could only be pled against the two NVOCCs and not against Amazon. It was found above that the amended complaint plausibly alleges a violation by Amazon. However, this count is against the regulated entities Amazon Logistics and Beijing Century, and the amended complaint does not plausibly state a claim against them for allowing “a person to obtain transportation for property at less than the rates or charges established by the carrier in its tariff or service contract by means of false billing, false classification, false weighing, false measurement, or any other unjust or unfair device or means.” Accordingly, a section 41104(a)(1) allegation is not plausibly alleged.

c. Count IV, Section 41104(a)(2)

Respondents contend that Count IV is essentially a breach of contract claim; there are no unusual circumstances rebutting that presumption; and two other actions have been filed for breach of contract. Motion at 20-22.

China United states that it has asserted a Shipping Act claim and not a breach of contract claim, arguing that breach of contract claims are pending in other fora and this case is about “whether Respondents’ conduct with respect to the Service Contract violated the Shipping Act and caused a regulatory ‘cancellation’ of the Service Contract.” Opposition at 19-21.

Section 41104(a)(2) states that:

IN GENERAL.-A common carrier, either alone or in conjunction with any other person, directly or indirectly, shall not- . . .

(2) provide service in the liner trade that is-

(A) not in accordance with the rates, charges, classifications, rules, and practices contained in a tariff published or a service contract entered into under chapter 405 of this title, unless excepted or exempted under section 40103 or 40501(a)(2) of this title; or

(B) under a tariff or service contract that has been suspended or prohibited by the Federal Maritime Commission under chapter 407 or 423 of this title.

46 U.S.C. § 41104(a)(2). In addition, section 40502(f) states: “Unless the parties agree otherwise, the exclusive remedy for a breach of a service contract is an action in an appropriate court.” 46 U.S.C. § 40502(f).

In *Cargo One*, the Commission stated:

We find that as a general matter, allegations essentially comprising contract law claims should be dismissed unless the party alleging the violation successfully rebuts the presumption that the claim is no more than a simple contract breach claim. In contrast, where the alleged violation raises issues beyond contractual obligations, the Commission will likely presume, unless the facts as proven do not support such a claim, that the matter is appropriately before the agency.

Cargo One, Inc. v. Cosco Container Lines Co. Ltd., Docket. No. 99-24, 2000 WL 1648961, at *14 (FMC Oct. 31, 2000) (footnote omitted).

As discussed above, NVOCCs Amazon Logistics and Beijing Century were not parties to the service contract but merely affiliates allowed to ship under it. Accordingly, a section 41104(a)(2) claim is not plausibly alleged.

C. Count V, Rule 530.10

Respondents contend that Count V does not state a claim because it does not allege a violation of the Shipping Act and the regulation on which it is based is inapplicable on its face. Motion at 22-24. China United asserts that it has stated a claim for a violation of Commission regulation 46 C.F.R. § 530.10 and that pursuant to 46 U.S.C. § 41107, a “regulatory violation itself constitutes a violation for which the Shipping Act, and Section 41107 expressly authorizes the Commission to grant relief in the form of a ‘refund of a charge’ to the affected jurisdictional party.” Opposition at 26.

Count V alleges a violation of 46 C.F.R. § 530.10, asserting that “Amazon’s actions or attempted actions, coupled with Amazon’s refusal to book additional cargo toward the Minimum Quantity Commitment or further perform the Service Contract, constituted a ‘cancellation’ of the Service Contract within the meaning of § 530.10(a)” and that pursuant to 46 C.F.R. § 530.10(e), “the Commission should award the Complainant reparations against respondents in the form of re-rating the Amazon cargo booked and carried by Complainant prior to cancellation.” Complaint at 20-21.

The Commission regulation at issue states:

§ 530.10 Amendment, correction, cancellation, and electronic transmission errors.

(a) *Terms*. When used in this section, the following terms will have these meanings:

(1) *Amendment* means any change to a service contract which has prospective effect and which is mutually agreed upon by the service contract parties.

(2) *Correction* means any change to a service contract which has retroactive effect.

(3) *Cancellation* means an event which is unanticipated by the service contract, in liquidated damages or otherwise, and is due to the failure of the shipper party to tender minimum cargo as set forth in the contract, unless such tender was made impossible by an action of the carrier party.

(b) *Amendment*. Service contracts may be amended by mutual agreement of the parties to the contract. Amendments shall be filed electronically with the Commission in the manner set forth in § 530.8 and appendix A to this part.

(1) Where feasible, service contracts should be amended by amending only the affected specific term(s) or subterms.

(2) Each time any part of a service contract is amended, the filer shall assign a consecutive amendment number (up to three digits), beginning with the number “1.”

(3) Each time any part of the service contract is amended, the “Filing Date” will be the date of filing of the amendment. . . .

(e) *Cancellation*.

(1) An account may be adjusted for events and damages covered by the service contract. This shall include adjustment necessitated by either liability for liquidated damages appearing in the service contract as filed with the Commission under § 530.8(b)(7), or the occurrence of an event described below in paragraph (d)(2) of this section.

(2) In the event of cancellation as defined in § 530.10(a)(3):

(i) Further or continued implementation of the service contract is prohibited; and (ii) The cargo previously carried under the contract shall be re-rated according to the otherwise applicable tariff provisions.

46 C.F.R. § 530.10. The parties have not identified any cases applying this provision.

The parties focus on the definition of cancellation in section 530.10(a)(3), with Respondents asserting that this section is inapplicable on its face as it defines cancellation as “an event which is unanticipated by the service contract, in liquidated damages or otherwise” which does not apply here as the cancellation terms were “expressly negotiated by the parties and memorialized in the Contract, including the liquidated damages provided for terminations for convenience.” Motion at 23. China United respond that “[w]hether actions of Respondents alleged in the Amended Complaint constituted a ‘cancellation’ as defined in the Commission’s regulations is a fact-intensive issue that cannot appropriately be resolved on a motion to dismiss.” Opposition at 27. In reply, Respondents argue that the “question is not, as [China United] would have it, whether the parties anticipated the particular facts of the termination dispute that arose; it is whether a potential termination of the Contract, whether for convenience or for cause, was foreseen.” Reply at 13.

This regulation is in the section on “Service Contracts” and the sub-section on “Filing Requirements.” It defines a cancellation as “an event which is unanticipated by the service contract, in liquidated damages or otherwise.” 46 C.F.R. § 530.10(a)(3). In the case of a cancellation, it permits the account to be “adjusted for events and damages covered by the service contract” which includes adjustment necessitated by “liability for liquidated damages appearing in the service contract.” 46 C.F.R. § 530.10(e).

The complaint alleges that “China United and Amazon entered into agreements for China United to provide transportation services, including ocean transportation, to Amazon;” the “Service Contract was intended to be a service contract within the meaning of applicable FMC rules and regulations;” and described the Main (or Master) Transportation Agreement (“MTA”):

22. The MTA allowed either party to terminate the MTA or a Work Order (such as the Service Contract) for convenience, i.e., without cause, with 90 day” prior written notice. The MTA provided that upon termination, each party would continue to owe any amounts accrued under the contract through termination. If Amazon terminated the Service Contract for convenience, the Service Contract outlines the calculation of damages owed to China United, including the “Early Termination Tender Shortfall” at China United’s election, and the “Tender Shortfall Liquidated Damages” based on the containers booked by Amazon relative to China United’s capacity commitment. The MTA also provides for termination for cause by either party with 30 days’ written notice following the other party’s failure to cure a breach within 30 days of notice. The MTA also provides for immediate termination for cause in the event of violation of certain representations, warranties, and covenants, and in the event of violation of Section 7 of the MTA (Confidentiality).

23. However, the Work Order subsequently entered between the parties after final amendments required by Amazon provided that China United as the service provider could not terminate the Service Contract for convenience. The Work Order further stated that if Amazon terminated “for cause” Amazon’s Minimum Quantity Commitment would be deleted and Amazon would owe no amounts for liquidated damages for bookings shortfalls.

Amended Complaint at ¶¶ 13-14, 22-23 (footnote omitted).

Accepting the factual allegations in the complaint as true, the parties’ agreements specifically addressed termination of the service contract and the parties negotiated the terms of such termination, including its impact on minimum quantity commitments and liquidated damages. Because contract termination was addressed in the agreement, such termination was not “unanticipated by the service contract.” 46 C.F.R. § 530.10(e). Complainant does not point to any cases supporting their allegation that the specific facts would need to be anticipated.

China United relies on the declaration of Gary Kardian who argues that there was a cancellation by default under 530.10(e)(2) as the parties could have mutually agreed to end the contract by amendment but no amendment was filed to address the shortfall in the MQC and therefore the contract lapsed or expired without the contract being fulfilled. Kardian Decl at ¶¶ 9-

10. Respondents contend that “there was no need to file an amendment of the Contract with the Commission, since Amazon proceeded under the terms of the agreement as written.” Opposition at 24.

The Kardian declaration is not sufficient to ignore the plain language of the regulation, which defines a cancellation as something “unanticipated by the service contract.” Under Kardian’s proposed reading, liquidated damages provisions in service contracts would not be enforceable unless all parties mutually agreed to end the contract by amendment, which would undermine the parties’ agreement regarding termination and liquidated damages. This is not a fair reading of the plain language in the regulation. Therefore, section 530.10(e)(2), does not apply to these facts. The other arguments including whether this section could support a Shipping Act violation do not need to be reached. Respondents’ motion to dismiss Count V is accordingly granted.

D. Conclusion

China United does not request another opportunity to amend their complaint, which has already been amended once. The Respondents will be required to file their answer and the parties will file a joint status report with proposed schedule as required by the initial order. To reduce time and expense, the parties will be permitted to use in this proceeding any discovery produced in their companion cases. The parties may suggest other ways to efficiently resolve discovery, such as stipulating to facts. If the parties reach a settlement, a copy of the settlement must be filed along with a motion seeking approval.

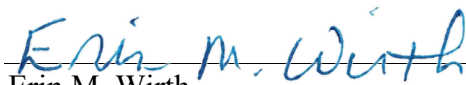
IV. Order

Upon consideration of the record herein, the arguments of the parties, and the conclusions and findings set forth above, it is hereby

ORDERED that Respondents’ motion to dismiss be **GRANTED IN PART AND DENIED IN PART**. Counts II, III, IV, and V of the amended complaint are hereby **DISMISSED**. Count I remains. It is

FURTHER ORDERED that the parties’ motions for confidential treatment be **GRANTED**. It is

FURTHER ORDERED that Respondents file a response to Count I of the amended complaint by June 23, 2025, and that the parties file a joint status report with proposed schedule by July 3, 2025.


Erin M. Wirth
Chief Administrative Law Judge